

OPTION SELLING

A weekly rules-based system for Nifty

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What we will cover

01

Entry rules

02

Exit on loss

03

Exit on profit

04

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Points to note

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Q & A

What you need to start

MINIMUM CAPITAL

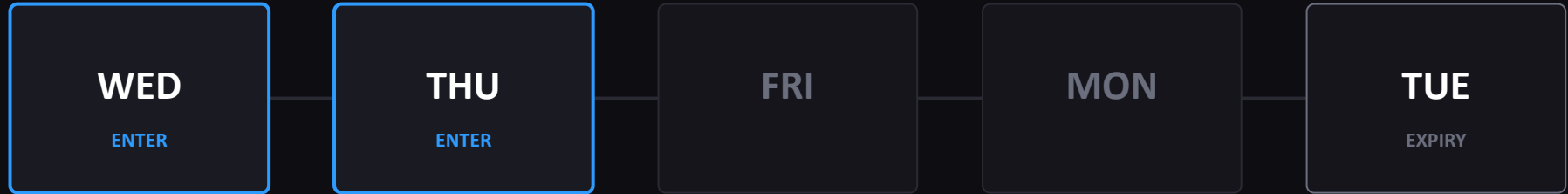
₹1 lakh

PART ONE

Entry

When to enter

Enter on Wednesday or Thursday, for the next Tuesday expiry



Four to five days of time decay working for you, without sitting through expiry week gamma from day one.

STEP 1

Understand the trend of Nifty

Everything after this depends on getting this one call right.

IF THE TREND IS

Bullish

SELL

Put credit spread

You are betting Nifty will not fall below your short strike by expiry.

Spread width

200 points

Capital deployed

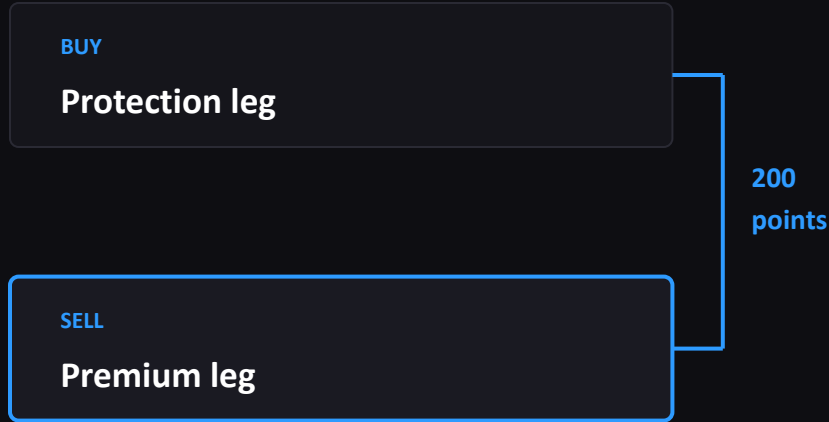
50%

Target on expiry

1% profit if options go to zero

The 200 point spread

Two legs. Your loss is capped the moment you enter.



Max profit

The net premium you collect

Max loss

Capped by the 200 point width

Best case

Both options expire worthless

IF THE TREND IS

Bearish

SELL

Call credit spread

You are betting Nifty will not rise above your short strike by expiry.

Spread width

200 points

Capital deployed

50%

Target on expiry

1% profit if options go to zero

PART TWO

Exit on loss

The stop loss rule

Exit a side when its loss becomes

3 times the max profit from that side

Calculated on margin

Applied per side, not on the
overall book

Exit means exit. No averaging, no
hoping

Re-entry after a stop loss

1

Stop loss hit

That side is closed

2

Check the trend again

Fresh reading, not the old one

3

Re-enter only if it still favours

As per the original entry rule

If the trend no longer favours the original direction, you simply stay out.

PART THREE

Exit on profit

Booking profits

When profit from a side reaches

80% of max profit, book it

Why not wait for 100%

The last 20% takes the most time

And carries the most risk

Free up the margin, look for the next entry

After booking profit

RE-ENTER

The same side

As per the entry rule, if the trend still favours it.

IF NOT

Stay in cash

Not trading is also a position.
Wait for the setup.

The trend check happens every single time. It is never skipped.

PART FOUR

Expiry day

Expiry day protocol

Tuesday



Carry the position till expiry

If it is running fine, let it run



No re-entries on expiry day

Even if the trend favours



No fresh entries on expiry day

The week is done



Exit in the morning if near profits

Do not wait for the last rupee

PART FIVE

Points to note

Risk management is the most important thing for an option seller

Taking the stop loss, and taking small losses, is not a failure of the system. It is the system.

Small profits. Consistency is key.

WHAT PEOPLE WANT

One big trade

Chasing a large payoff, sizing up,
skipping the stop loss.

WHAT ACTUALLY WORKS

Many small wins

Same rules, same size, week after
week. Boring by design.

Gap risk

The one risk your stop loss cannot protect you from

A stop loss only works when the market is open. An overnight gap can open past your level.

Know your events

Budget, RBI policy, global shocks, results

The buy leg is the real protection

Your loss stays capped at the spread width

Size for the gap, not the stop

Assume the worst case can happen overnight

The rulebook

One slide. Photograph this one.

ENTRY

Enter Wednesday or Thursday for next Tuesday expiry

Read the trend of Nifty first

Bullish - sell put credit spread, 200 wide

Bearish - sell call credit spread, 200 wide

Deploy 50% capital per side, target 1% on expiry

EXIT

SL - exit a side at 3x max profit loss

Book profit at 80% of max profit

Re-enter only if the trend still favours

Carry till expiry, no fresh entries on expiry day

Exit on ODTE morning if near profits

Questions

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